Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

B.Com (BM) DEGREE EXAMINATION – APRIL 2021

18BM501 – INCOME TAX LAW AND PRACTICE

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is assessment year?
2. What are allowances?
3. What is grossing up of interest?
4. What are the deductions available under section 24?
5. What is fair rental value?
6. Define business.
7. Define depreciation.
8. Classify capital assets.
9. What do you understand by 'set off' of losses?
10. What is the provision for deduction u/s 80 D?

SECTION – B (5 x 5 = 25)

Answer **ALL** the Questions

11. a) What are different categories of assessees according to their residential status? How is this status determined?

(Or)

b) Vivek retired on 31st October, 2017. He was entitled to a pension of Rs.4,000 p.m. At the time of retirement he got ¾ of the pension commuted and received Rs.4,00,000. He was in receipt of Basic salary of Rs.10,000 per month, D.A Rs.5,000 p.m., Entertainment Allowance Rs.1,000 p.m. Compute the Gross salary for the A.Y.2018-19, if i) He is a Govt employee; ii) He is a non govt. employee entitled to gratuity; and iii) He is a non Govt. employee not entitled to gratuity.

12. a) Mr. Landlord is the owner of two houses. In respect of these he has furnished the following particulars:

	House A	House B
Date of completion of construction	31-03.1996	01.07.2000
Municipal rental value	Rs.3,60,000	6,00,000
Actual rent received	3,00,000	60,000 p.m
Municipal taxes paid	36,000	30,000 (Due)
Ground rent	1,000	7,800
Interest on loan taken for construction	50,000	1,82,000

Compute his income from house property for the assessment year 2018-19. Out of the Municipal Taxes of House 'A', Rs.18,000 are paid by the tenant.

(Or)

b) Shri. Jayaraj owns a property at Chennai (Municipal value Rs.160000; fair rent Rs.1,80,000; Standard rent Rs. 1,50,000). The house is let out upto September 30, 2017 (monthly rent being Rs. 15,000). From October 1, 2017 the property is self occupied for own residential purposes. Find out the gross annual value for the assessment year 2018-19.

13. a) Mr.Rahul submits the following particulars of his business of which you calculate the income from business. Net profit as per P & L a/c (after charging following) Rs.40,000.

i) Sales tax Rs.2,000 and income tax Rs.3,000.

ii) Bad debts provision Rs.1,000.

iii) Commission to procure business order Rs.4,000.

iv) Interest on capital Rs.1,500.

v) Depreciation Rs.2,000 (but as per income tax rules Rs.1,800 only)

(Or)

b) Explain the various expenses that are expressly disallowed in the assessment of business income.

14. a) Mr. Paneerselvam owned two motor cars which were mainly used for business purposes. The written down value on April 1,2017 of these cars is Rs.1,81,000. The block of assets comprising of only these two cars, was sold in June 2017 for Rs.1,50,000. In September 2017, he sold 1,000 shares in X Ltd (unlisted) an Indian Company, for Rs.5,00,000. He had purchased the same during March, 1995 for Rs,.3,10,000. A house plot purchased in March, 1991 for Rs.3,00,000 was sold by him Rs.9,35,000 on January 18, 2018.

Compute the capital gains chargeable to tax in respect of the above transactions for the assessment year 2018-19. (CII of 2001-02 = 100, 2017-18 = 272)

(Or)

b) Ganesan furnishes the following particulars of his income for the previous year 2017-18. Compute his income from other sources for the assessment year 2018-19.

Dividend (gross) from Ashok Leland Ltd. Rs.25,000.

Dividend from cooperative society Rs.5,000.

Interim dividend from Rane (Madra) Ltd. Rs.6,000.

Dividend from a foreign company Rs.26,000.

Dividend from UTI Rs.3,000.

15. a) Mrs. Hema furnishes the following particulars of her income for the assessment year 2018-19:

	Rs.
Salary from Aristocracy Private Ltd., (computed)	50,000
Dividends on TISCO shares (Gross)	1,500
Interest on securities (gross)	7,500
Interest on fixed deposits in State Bank of India	3,200
Profits from agency business	10,000
Loss from speculation in shares	20,000
Profits from speculation in Silver	9,000
Loss from short term Capital assets	5,000
First prize from Kerala State Lottery	1,00,000
Gains from paying Bridge in the club	5,500
Gains from paying Rummy in the office	1,000
Loss in flash (Card game) with friends	7,000
Maharashtra State lottery tickets bought	10,000
Loss in race course on betting	20,000
Expenditure in maintaining race horse	40,000
Stake money received in respect of the horses	90,000

You are required to compute the Gross Total Income for the relevant assessment year.

(Or)

b) What are the conditions for allowing deductions in respect of charitable donations?

SECTION – C (3X10=30)

Answer any THREE Questions

16. Explain any ten incomes which are exempted u/s 10 of the income tax Act 1961.

17. Mr. Ramanathan is General Manager of a Company in Madras and draws Rs. 8,500 per month as salary. He is provided with a house for which the company pays Rs. 60,000 P.A. as rent. Furniture and fitting costing Rs. 30,000 are also provided. He is also provided with a Car of 1.6 Lts., rating by his employer, and the Car is used for both Private and Official purposes. All expenses including salary of driver are borne by the employer.
The employer has also provided him services of sweeper @ Rs. 140 p.m., a watchman @ Rs.160 p.m. and Gardener @ 600 p.m.

He is a member of recognized Provident fund to which he contributes 12% of salary and a similar contribution is made by the employer. Interest on Provident fund balance at 14% credited to his provident fund account amounted to Rs. 4,200. His son is studying in an engineering college and the expenditure of Rs. 24,000 p.a. on this account was met by the employer. Compute his salary income for the previous year 2018-19.

18. Particulars of a residential house completed on 31.5.99 are given below.
    Actual rent Rs. 9600;
    Municipal taxes paid Rs. 1800;
    Ground rent Rs. 50;
    Insurance Rs. 80;
    Interest on amount borrowed for construction of house Rs. 1000;
    Collection charges actually paid Rs. 300.

    The assessee mortgaged the house for Rs. 36000 to meet the expenses of his daughter's marriage and paid interest of Rs. 3000 on the mortgage loan during the year. The assessee also realised from his tenants of earlier years to the extent of Rs. 8000 out of which Rs. 6000 was allowed earlier as deduction. Compute the total income of the assessee for the AY: 20018-19.

19. Mr Suresh, a resident of India, sold gold for Rs.3000000 on 20.05.2017, which he acquired on 16.04.1977 at a cost of Rs.170000. The fair market value of gold on 01.04.2001 was Rs.150000. He has invested Rs.400000 in buying a residential house on 15.06.2017. Ascertain the capital gains chargeable to tax during the assessment year 2018-19. CII for 2001-02 is 100, for 2017-18 is 272.

20. A.L. Khan has furnished the following details of his income for the previous year 2017-18 compute his income for the assessment year 2018-19 under the head 'Income from other sources."

    (a) Income from letting Plant, building and furniture on Hire Rs. 40,000 p.m
        Expenses claimed: Repairs Rs.5,000, Depreciation 40,000 & Insurance 15,000.

    (b) Rent from subletting ¼ of a house Rs.5,000 p.m. He has taken a residential house by paying a rent of Rs.12,000 p.m. Municipal taxes paid by him Rs.10,000, Repairs incurred Rs.16,000.

    (c) Dividends (Gross) from an Indian company Rs.4,000.

    (d) Lottery winnings Rs.2,000.

    (e) Race winnings received Rs.10,05,000.

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